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Compensation Review & Increment Administration Guide (HR)

How HR runs the annual increment cycle: budgets, merit matrix, band checks, p
comp, off-cycle corrections and manager communication.

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The increment cycle converts performance ratings into pay changes under budget and equity constraints. This guide is the HR playbook for running it cleanly; band tables and budgets live in the finance-restricted compensation working file.

1. Cycle inputs

- Budget envelope and distribution guidance (differentiation by rating) come from finance + business head at cycle start.
- Band tables refreshed on latest market data; HR maintains the relationship between ratings and increments in the merit matrix.
- Eligibility: confirmed employees on the roll at the effective date; notice-period employees are eligible if the effective date falls inside their notice.

2. Merit matrix mechanics

Rating	Indicative increment band
Exceeds	Top of matrix (often 2× average)
Meets	Around the average
Partially meets	Below average or freeze; improvement plan required
Below	Freeze; PIP policy track

3. Band checks before release

- Any proposed salary above the band maximum flags outright: it comes out of band exception review, not quietly into payroll.
- Compa-ratio shifts larger than ±25% in one cycle need justification lines.
- Promotion increments sit within the new band's lower third normally, well-justified exceptions allowed.

4. Off-cycle corrections

Off-cycle salary changes come from three sources only: approved retention cases signed by business head; market-correction for an untenable band position with benchmarks attached; error corrections following unsuccessful arbitration of a payroll mistake. Retention cases go to the committee with a written case; they are the most abuse-prone channel and are audited.

5. Communication discipline

HR briefs managers before letters go out: total revision, the split (fixed / variable), the effective date and what is intentionally not in the band. Managers' talking points stay with documented reasons; their personal speculations move to the grievance SOP when they surface as complaints.